Response™

Real Estate Investor Series

Business Set Up And Marketing

Guide

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Introduction

This guide covers an important next step in the process of achieving success in real estate investing; setting up and marketing your real estate business.

We hope that you are reviewing all that you are learning and applying the appropriate techniques and strategies. As you work through the action items addressed in each guide, you step ever closer to achieving your goals in real estate. If you continue to stay focused, work hard, and rely on the information provided in these guides, you will find great success.

It will be helpful to print out the workbook chapter associated with this guide and have it close at hand to refer to and take notes as we work through the various concepts and tasks.

What You Should Know

Before beginning this guide, you should have completed the action items from the *Contracts and Offers Guide*. You should have:

- Chosen two to four properties on which to make an offer
- Located and reviewed three or four different purchase contracts
- Practiced writing two or three contracts
- Presented offers on at least two properties

Since the information in this guide will continue to build on these principles and actions, you should complete these actions before continuing with this guide.

What You Will Learn

When you complete this guide, you should be able to:

- Set-up and register your business
- Set-up the necessary contact options for your business
- Determine your marketing objectives, evaluate and select appropriate marketing techniques for your target markets
- Get referrals for your business
- Create a marketing plan and budget
- Recognize six common marketing mistakes to avoid

Tip for Success

Later in this guide we will discuss the steps involved in creating a marketing plan in detail. For our tip for success we give you an overview of a simple six step process for developing this important plan.

1. Decide exactly what you want to accomplish

Rather than thinking about the perks and benefits that come with success, focus instead on identifying the purpose of your actions. Your purpose might be a specific type of sale; like a foreclosure or tax lien certificate; or it could be reaching a specific audience like out-of-state owners. Ask yourself, "What elements do I want in a prospective deal?" As you answer this question be very specific. Write your thoughts and notes in clear detail. Finish this step by creating a list of goals that you want to accomplish.

2. Decide who your target audience is.

Who are you trying to sell to, and what do you know about them? Write down everything you know about their common characteristics, age, income, and interests. This will be a big help you as you try to decide what you should emphasize or focus on with your marketing efforts.

3. Create a list of steps needed to reach your goals.

Besides figuring out exactly what you want to achieve, knowing how you'll do it is also vital. Think about the end result you want to create, and then consider exactly what you'd need to do in order to achieve it. Write each step in order, and make a note of any possible obstacles you may face along with the actions you could take to overcome those obstacles.

4. Create an approximate timeline for reaching your goals

Think about how long it should take for each goal or step to be completed. Develop a general plan for when you should complete each one.

5. Create a plan for completing your action items.

Consider questions such as: "Will all the steps be undertaken at once, or is there a clear progression to follow?" "If a delay or obstacle comes up, will that change the order of the steps?" Prepare and plan ahead as much as possible. Once you get to this point you can start working on the first steps.

6. Re-evaluate and readjust as necessary

Once you're moving forward you'll want to set aside some time to evaluate your progress and readjust your goals and plans if

circumstances have changed or if something is not working. You can do this as frequently as needed in order to ensure you are staying on track.

There is a worksheet at the beginning of the *Business Set-up and Marketing Chapter* of your workbook where you can record your initial thoughts, goals, and plans for marketing your business. We will go over the process for developing a marketing plan in more detail later in this guide.

Set-up Your Business

Select a Business Name

One of the first decisions you need to address when it comes to setting up a business is what you will call your business. Many people have a hard time deciding on a business name, and rightly so; after all it is an important decision. It will be the way people reference and identify you as a business. However, do not let choosing your business name stand in the way of proceeding with your investing career. For those of you who may be having a hard time deciding on a business name, here are some suggestions.

- Include words in the name that give an indication as to what you do or how you can help people. Consider using words like, investments, investors, solutions, ventures or remedies. For example, you could choose something like Quick Home Solutions or Home Remedies as your business name.
- Avoid words that are typically associated with people with some kind of license; such as agent, broker, realty or banker.
- Consider using names familiar to your area such as a tourist attraction, a national monument, a mountain range or a well-known lake or river. For example you may consider something like, Rocky Mountain Property Ventures, or Pike's Peak Home Investors.
- Avoid using your name or initials in your business name. Keep a certain distance between you and your business to maintain your privacy and a strong corporate shield in case something ever goes wrong.

You will find some additional assistance and forms in the workbook to help you brainstorm, select a business name, and go through the other steps involved in setting up your business.

Select a Business Type

The next step is to select the type of business that works best for you. This is a critical step because the correct choice helps protect your current and future wealth from potential lawsuits and excessive taxation.

Some of the options you should consider include a limited liability company, or LLC; a limited liability partnership, or LLP, a C corporation, and an S corporation. Each of these entities offers different levels of asset protection and different tax regulations. For example, limited liability companies and partnerships are relatively easy to set up and maintain,

and offer great asset protection. S and C corporations, on the other hand, are more difficult to establish and also provide less asset protection.

Most states also allow sole proprietorships and general partnerships, but these offer essentially no asset protection. You will want to choose one of the previous four, but each state differs a little as to how they need to be registered and the respective filing and maintenance fees associated with each.

Many real estate investors actually use a combination of businesses to protect all their assets. While multiple entities at this stage of your investing journey might be extreme, it is something to keep in mind as you become more successful.

The best approach is to sit down with a local attorney or tax advisor to figure out which type best fits your specific needs, circumstances, and business objectives.

Business Type	Set up	Asset Protection
Limited Liability Company, LLC	Easy	Excellent
Limited Liability Partnership, LLP	Easy	Excellent
C Corporation	Difficult	Fair
S Corporation	Difficult	Fair
Sole Proprietorship	Easy	**None**
General Partnership	Moderately difficult	**None**

Business Type Summary

Register Your Business

Once you have determined your business name and type, it is time to register it with the government. Each state has different regulations that specify exactly what you need to do in order to register a business. Review these requirements with your accountant or attorney.

Also keep in mind that some areas require that you register with local business oversight agencies as well. In these areas you may be able to register with your local authority and the state at the same time.

After registering with the state, you will receive a certificate to do business in that state. You can then go to the www.IRS.gov website to obtain an EIN, or Employee Identification Number. This number is

essentially the social security number for your business. Use it to report income each year. Just as with your social security number, you can establish a credit rating with lenders for your business under your EIN. The best part is that you can then apply with lenders or creditors for corporate credit. It can be another great source of funds to use to buy or improve properties. Hopefully, your business will be able to obtain necessary loans based on its own credit history.

Establish Your Contact Information

Once you have registered your business, one of the first things to decide is how people are going to contact you.

Telephone

To some degree, the nature of your contact information should be determined by what you have chosen as your target market. For example, if your target market is outside your calling area, you should consider getting a toll-free number. If your target market is within your calling area, you need to ask if you want people calling your home number. It definitely sounds more professional to have someone answering a business call by announcing the name of the business rather than just answering as you normally do on your home line.

If you want to get a toll-free number or look into other business telephone services go to the website, www.kall8.com. www.ureach.com is another good one to check out, or you go to Google or Yahoo and can search online for the keywords “toll free numbers” or “800 number.”

Email

Some people prefer to communicate by email rather than by telephone so you should provide an email address as well. Use one that only you can access to make sure that no one can go in and accidentally delete an important message. When you are coming up with an email address, I recommend that you use your business name or your name. Doing so will make it easier for people to remember.

Give your business a more professional look by registering an email alias. This is an email address that shows your business name instead of just some common email service. For example, instead of having an email address of realestatepro@hotmail.com, you could have bob@realestatepro.com. This is just a small detail, but it does add a certain level of professionalism and credibility to your business. To obtain one of these email aliases register a normal email through www.g-mail.com and then go to the accounts tab and add a new email.

Company Address

Another factor to consider with your business contact information is whether to use your home address in your correspondence. Some people may feel more confident working with someone if they know there is a physical address associated with the business. But, if you do not feel comfortable using your home address you can get a post office box at Mail Boxes Etcetera or the U.P.S. store. The benefit of using one of these services is that your address looks like an office suite, e.g., 2234 Sycamore St. # 225, instead of a post office box address. In many cases, people feel more comfortable dealing with a suite type address than a P.O. box. They do charge monthly fees for these mail boxes, but these costs are tax deductible as business expenses.

Marketing Techniques

Some marketing techniques are more effective than others for different target markets and different investment strategies. For this reason you should evaluate the different techniques, how much they cost, and whether your target audience is likely to see them. The Marketing Techniques section of your workbook has space where you can take notes on the techniques we are going to discuss.

Slogan

Once you have identified your business name and objectives, you are ready to come up with a catchy slogan. A good slogan makes people think of the product being offered. The slogan you create should describe in more detail than your name what your business does and how it does it. For example, your slogan for buying homes might read,

"We buy houses fast!"

or

"We buy homes in 14 days for CASH!"

or the slightly more catchy,

"Top dollar for your home!"

You may also consider different slogans for selling the homes you buy. For example,

"We can help you own a home today!"

or

"A small down payment gets you a home!"

or again the slightly catchier,

"Solutions for your home buying blues"

Use your creativity, or enlist the help of a creative friend, and come up with a good slogan that you can include on business cards, fliers and other marketing pieces.

Business Cards

Your business cards should include your name, business name, slogan, business phone number, email address, as well as your fax number and website if you have them. The goal is to have a card to give to everyone you talk to. You will learn more of how to use business cards later in this guide, but for now let's look at some tips for business cards and how to get them.

1. Make sure all your information is clear and correct.

A business cards is only beneficial if the person receiving it can get back in touch with you at a later date. You will want to double check to be sure that all of your contact information is correct and current.

2. Use both sides of the card.

You can use one side of the card for contact information, and the other for extra marketing space, say for a referral program. For example, on the back of your business card you could say,

> "Do you know someone who has bad credit but wants a home? I'll give you $500 when your referral buys from me. Call now."

And then put your phone number. It costs a little more to use both sides of the card, but it has the potential to make more money as well. You will elarn more about how to get and use referrals later in this guide.

3. Use more than one set of cards.

If you work with more than one audience you should consider creating more than one set of cards. One set might target home sellers, while another could be geared toward home buyers.

4. Use colored paper or colored fonts.

Color draws more attention to your card and gets people to look at it more often. Be careful with this, though. Too much color can make your cards look cheap and gaudy.

5. Use an odd-shaped card.

Another option to consider is to use a fold-over or larger-than-normal card. Like color, this brings more attention to the card; but again, you want to be careful because if your card does not fit into a Rolodex or other business card holder it might be thrown away.

Printing Your Business Cards

When you have decided how you want your card to look you have a lot of options as to where to get them designed and printed. Literally hundreds of websites provide business card design and printing services. Go to www.google.com and type "business cards" in the search box to shop online. In addition, there are most likely local printing shops that you can contact. Shop around and compare services and prices to make sure you are getting the best deal available.

A third option is to buy software that allows you to create and print business cards on your home printer. If you have a quality printer this may be a good option.

Eventually, though, you should have a professional design and print your cards to ensure the highest quality. After all, your business cards represent your business and they should be as professional as possible.

Classified Ads

Classified ads, either online or in printed materials, are one of the more effective marketing techniques available. There are national, as well as local online classified ad listings. Ads in the local daily newspapers will cost more than ads in weekly papers, so it might be more cost effective for you to start with the weekly papers. You'll want to see where these papers are distributed and see if they reach your target areas effectively or not.

In most cases, you will find that these newspapers, both daily and weekly, place their information online as well. They might run it for free, or for a little more than the cost of the ad in the printed newspaper. Many websites offer free classified ad listing services. In most cases, you will find that they will allow you to upload pictures and text sufficient to market what you have to offer the public. A lot of them cover specific areas. You can find them by going to www.google.com and searching for "free classified ads" or "free classifieds" with the name of a city or state to which you are targeting your marketing.

Signs

Posting signs is another excellent technique when you are buying, renting or selling a property. Signs can be posted right on the sale or rental property, as well as on nearby roadsides and corners. Some may simply be directional signs showing where the property is located.

You might also consider posting signs at busy intersections advertising that you buy homes or can help stop foreclosure. Before placing these signs be sure you know the local regulations controlling where the signs can be placed.

Direct Mail

Direct mail is anything sent by the post office to a potential buyer or seller. You can send postcards, fliers, or traditional letters. This technique carries a bit more cost, but can also be very effective.

For example, let's assume you are focusing on the buy and hold strategy and you see a vacant home. You could get the mailing address of its owner and send a letter explaining the costs involved in holding on to a vacant property. You would also explain your services and ask the owner to call you for help in alleviating their financial liability.

We will discuss the details on how to effectively create and distribute direct mail pieces in the financing and foreclosures courses.

In Person

Marketing in person is where business cards come into play. Give these cards to everyone you talk to, especially those you talk to about real estate. You also may want to print up some nice brochures that describe what you can do and hand them out or leave them at doctors' offices, or car repair shops or anywhere people have to sit and wait.

You should also consider giving them to real estate professionals in your target areas so they can refer their clients to you.

As an example of this kind of marketing, let's assume you are focusing on foreclosures. It is very important to get marketing pieces in front of someone facing foreclosure at the right time. So when you find someone who is about to lose their home you can deliver a brochure describing the options they have to save their home, as well as addressing the pain and embarrassment they may suffer as a result of the foreclosure. Then you can offer your services as a solution to their problems.

Referrals

You can increase the effectiveness of any of the marketing techniques by including a referral option with your materials whenever possible. Most people who see your marketing will not have an immediate need for your services so you want to make it easy for them to refer your services to someone else who does need them.

Remember a referral can come from anyone; a friend, colleague, family member, real estate professional, or even a stranger; so it is in your best interest to let everyone you meet know what you do. Among real estate professionals, you should consider networking with real estate agents, mortgage brokers, title or closing agents, appraisers and real estate attorneys. Other good sources for referrals are accountants, attorneys, local bankers, and other real estate investors. We will discuss these people and marketing to them in more detail in the *Marketing* and the *Real Estate Alternatives Guides*.

The key point here is that referrals will make your life a lot easier. They are one of the best ways to work smarter, not harder.

One of the most important things you can do to get referrals is to get your information in front of people. That information can be in the form of signs, posters, fliers, letters, or business cards. It is also important that the material be short and specific as to what you are offering. Tell people why it is good to refer you. It might be an extra added service or benefit that their own clients can use. Also, consider giving a referral bonus or some other incentive for the person who gives you a referral.

An essential part of a referral program is to have something that a person can take with them. You have probably seen signs and fliers with tear off strips, or stacks of brochures and business cards in waiting areas. What item the person takes is not as important as the fact that they take something that reminds them of who you are and what you do.

Another vital aspect of referrals is to follow up with the people being referred as well as the person who did the referring. Set aside some time each week or every other week to contact your referral sources and follow up with them. During these contacts, reinforce your incentive and encourage them to refer someone.

Referral Sources

When you have the chance to choose your referral sources, say by handing out business cards, or networking at real estate investor clubs, there are some qualities you want to look for to help you decide if the person is a good candidate to be a referral source.

First, try to find out if the person has a good relationship with people in your target market. The person might be a prominent public figure in an area, or their profession might put them in contact with people in bad credit situations for example.

The referral source should have a good understanding of your ideal client. Whether it is someone with bad credit, with little money, or needing to sell a home; your referral source should understand what you are looking for.

The referral source should also be fairly knowledgeable about what you are able to do. You do not want to waste time with referrals for things you really can't help with. This would include things like legal issues or other potential problems.

They should also be motivated to provide referrals. That motivation might be in the form of a bonus of some kind. They might have friends or family who need your help, or they may want to make your services

available to their business clients. We will talk more about networking and getting referrals in the *Networking Guide* of the *Marketing Course*.

Marketing Tips

Here are a few final marketing tips to consider.

Include an email address on every marketing piece you create.

More and more people prefer the convenience of communicating by email and you will get more responses if that is always an available option.

Carefully consider where you put your ads.

Make sure your ads are put in the best places for your target market. For example, if you are targeting people who are financially strapped and need to sell a home to pay off other debt, then the most expensive local paper is probably not be the best place to advertise. And putting rent-to-own signs in upscale neighborhoods probably won't bring the best results, either. Just think about where the marketing will be most effective and then try some things out for a month or so to see how they work.

Provide targeted, quality ad copy.

Ad copy is the fancy name given to the text you put on a marketing piece. Writing good ad copy is a skill that you can develop over time. If you are not confident in your writing abilities, just look around at some of your competitors' marketing pieces. Read them, underline parts that grab your attention, and then try to emulate that kind of writing for your own marketing. While you are doing this keep focused on where your ad will be seen and who will see it.

For example, if your target market is a college town and you are focusing on young college buyers, you might say something like,

> "We have many great starter homes just blocks from ABC College. Contact us today to help you get into your first home. Bad credit is ok."

And then list your phone number and email.

Marketing Plans

The first step in developing your marketing plan is to identify the target areas in which you want to market. You should have completed this step and the worksheet shown here as part of the action items in the *What To Look For? Guide* and workbook. If you haven't completed it, please do so now.

Target Area	Property Type	Taxes	Cost of Living	Schools	Crime
Linwood	SFR	3	1	4	5, drive-by shootings last year
Payson	Multi-Units	5	4	1, highest ranked district in state	2
Oak City	SFR	3	1	2	2
Rose Park	Town homes	5	4	3, two magnet schools	3

Identify Target Areas and Audiences

The next step is to identify the target audience, market conditions, and investment strategy you want to focus on in each target area. For instance, you might focus on young families in an area where market conditions are slowing with a lot of foreclosures using a cash flow investment strategy.

Take a few minutes now to complete the Target Area Features Worksheet in the Marketing Plans section of your workbook. Identifying this information now will help a lot as you start thinking about what to put in your marketing plan.

The Foundation

Once you have identified your target areas, audiences, market conditions, and investment strategies you are ready to start answering the questions in the Marketing Questionnaire to guide the creation of your marketing plan. You can review a sample of the questionnaire at the end of this section. Eventually you will want to go to the workbook and fill the questionnaire in for yourself.

Target Audience

The first question in the questionnaire is a simple one. "Who is the target of your marketing?" Based on the work you have already done you will probably say that your initial target groups are the buyers, sellers, and renters in your target audiences.

Finances

The next questions to consider are the financial ones, for instance:

> "How much can I afford to spend to start marketing?"
>
> "Where will my marketing money come from?"
>
> "How much of the budget do I want to allocate to the different target areas and groups?"

You may have a very limited amount of money currently available, so you need to know exactly how much you can afford to spend. Keep in mind that at this early stage your marketing plan is not set in stone. You are simply identifying a starting point. You will change and update the plan on a regular basis as you see what works and what does not.

Techniques

Next make a preliminary decision on which techniques will work best to reach each of your target audiences. Are they likely to see and respond to classified ads, flyers, or postcards? Do they search the Internet, or is there another way to get your message to them? In many cases, you will not know exactly and that is okay. The main thing is to just make your best guess based on what you know of the area and then test it to see if it works.

Keep in mind that your marketing plan may well contain a variety of different techniques that you will use in different areas under different circumstances. For instance, ABC Street may be best suited for fliers that focus on selling a home in 14 days or less. XYZ city, on the other hand, may be a great place to use online ads to find young families who want to buy homes with little or no money down.

As you make this decision you can start doing research to find the resources that you will use with each of the techniques. Look for ones that give the best deal so that your marketing dollars stretch as far as possible.

As you identify those that are most affordable you can figure out what you can spend on each one over the course of a month. Record that on the questionnaire.

Predictions

The fourth step is to make some predictions as to the kind of response you will get to your marketing efforts. A response of one to two percent is considered about average. You can also get some good information on the likely results from the various marketing techniques from other investors or marketing professionals in your area.

You will compare your actual results each month with these predictions and then change the allocation of your funds if necessary to get a lower cost per lead.

Keywords and Slogans

Finally, identify the keywords and slogans that you will use in your marketing. You may have already done this when we discussed it earlier in the lesson. As you go through the *Marketing* and *Foreclosures* Courses, you will find that there are specific keywords you should consider using depending on the focus of your marketing efforts.

You can find the marketing questionnaire in the Marketing Plans section of your workbook. Fill it out for each of your target areas and groups because the techniques and costs for each will be different. It is very important that you devote the time it takes to gather this information and answer these questions. The better the foundation of information that you assemble, the better chance you have that your marketing efforts will result in profitable deals.

Sample Marketing Questionnaire

Target Area and group: Oak City, young families	**Investment Strategy:** Fast Cash	**Marketing Technique(s):** Postcards & Classifieds – free online & freebie
Marketing Questionnaire		**Responses**
1. Who is the target of my marketing? (buyers, sellers, or investors)		Buyers and sellers
2. How much can I afford to spend to start marketing? Where will my marketing money come from? How much of my budget will I allot to each target group per month?		$300 from business line of credit $150 for this target area. Buyers = 33%, Sellers = 66%
3. What techniques will work best with each group? What resources should I use to produce the various marketing products? How many times in a month do I need to pay for the marketing? What are the costs for each marketing technique per month?		Buyers –classified ads Sellers - postcards, letters www.postcardwebsite.com – design, print and mail postcards, 1x/month, $107.48 (to print & ship 150 postcards) www.americanclassifieds.com - freebie classifieds, 1x/4 weeks, $24/4 weeks www.seekitlocal,com & www.craigslist.com – free online classifieds free, update 2x/month
Do my total estimated marketing costs per month fit with what I have to spend?		$107.48 + $24 = $131.48
4. How many leads do I expect per week from my marketing efforts? How many deals do I expect per month from my marketing efforts?		Buyers = 15 Sellers = 25 Buyers = 1 Sellers = 2
5. Which keywords am I going to use in my advertising?		Seller = We Buy Houses, Quick Closing Buyer = Buy Below Market Value, Instant Equity

Part 1, The Basic Plan

There are three main parts to your marketing plan; the basic plan, the schedule, and the evaluation. The basic plan contains general information for each target area, and is based on the information you have gathered on the Demographics Worksheet and the Target Area Features Worksheet. A sample of the form is displayed at the end of this section.

To complete the basic plan, begin by listing each of your target areas in the Basic Plan Form in the row across the top. You can find the form in the Marketing Plans section of your workbook.

In the next row list the groups you are targeting. Normally this will be buyers or renters and sellers, although it could also include investors, and networking contacts.

In the next row list the specific techniques you plan to use for each group and target area. Below these put the name of the person or company who will produce the material, how long it will take, and how long you plan to run the ad or sign or how frequently you plan to distribute the information.

In the Responses row put the number of responses you think you will get. You will most likely be guessing the first time around, but as you start marketing you will get a better idea of what to expect. Later, when the campaign has ended, record the number that you actually received. In the Transactions row mark a tally to record each transaction that results from the effort.

In the Budget row list how much you expect the technique to cost. Then after you have spent the money, enter the actual cost. In the final row indicate where you plan to get the money. This could be a savings account, a small business loan, or even that you're selling your car.

Keeping this record helps you make sure that you do not spend more than you have, and that you know where the money is coming from and going to. Each time you close on a deal you should consider putting a portion of the proceeds back into your marketing budget.

Sample of the Basic Plan Form

	Target 1: Oak City			Target 2: Mid-town		
	Buyers/ Renters	Sellers	Investors	Buyers/ Renters	Sellers	Networking Contacts
Technique	Ads, Sign	Post-cards	Letters	Signs	Letters	Letters
Producer	Freebie.com	Printer	Printer	Acme Sign Co.	Printer	Self
Time to produce	3 days	1 week	2 days	1 day	3 days	1 day
Duration or Frequency	4 weeks	1x/mo.	1x/ 3 mos.	4 weeks	1x/2 mos.	1x/2 mos.
Responses Planned/ Actual	30/27	20/16	10/6	20/	50/26	20/14
Transactions Planned/ Actual	III/I	II/	I/	I/	III/	I/
Budget Planned/ Actual	$40/$59	$132/ $120	$10/$10	$100/$95	$200/$240	$5/$5
Money Source	BLOC	SBA Loan	Savings	Credit Card	Savings	Savings

Part 2, The Schedule

The schedule keeps track of exactly what you plan to do and when you plan to do it. You should make a schedule each month for each of your target areas. A sample of the form is displayed at the end of this section.

In the left column of the Schedule Form list each of the techniques you plan to use. Then in each weekly column record what you plan to do to get the material published or distributed.

Fill in the Results and the Costs columns as you receive responses, make offers, complete transactions, and incur costs.

You should also create one or more rows for reminders on referrals and other tasks that you want to be sure not to forget.

Finally at the end of the month add up the total costs of your marketing efforts. Compute your cost per lead by dividing the total cost of a technique by the number of responses. This will help you decide which of

your techniques is the most effective and most cost-efficient. Finally, transfer the costs, response, and transaction information to the basic plan.

Example of the Schedule Form

Marketing Schedule for *October*, 2008 **Target Area:** Oak City_____

Technique	Week 1	Week 2	Week 3	Week 4	Week 5	Results	Costs
#1. Postcards	Complete design, Make 500 copies	Address and mail				Responses: ~~IIII~~ IIII Offers: III Trans actions:	$50, printing $47, postage CPL= $_____
#2. Fliers			Distribute on 3rd and 4th Streets			Responses: ~~IIII~~ I Offers: III Trans actions: I	$42, printing CPL= $_____
#3. Signs	Put open house signs at 2335 3rd St.			Buy 5 new property signs		Responses: ~~IIII~~ ~~IIII~~ Offers: Trans actions:	$150, signs CPL= $_____
Referrals/ Followup	Call Tony Smith (re: sign on Jack St.)	Call Bill Sanders- Check on foreclosure	Call Sally Johnson- See if she is ready to sell			Responses: Offers: Trans actions:	CPL= $_____
		Call Billybob Jefferson, he might sell.	Check on new properties Pam Silva has listed				
						Total Costs:	

3. Evaluation

As you implement your marketing plan, and compute your cost per lead, you will notice that some marketing techniques cost more than others. We recommend that you evaluate your marketing efforts at the end of each month for the first several months, Once you get a good idea of what works and what doesn't, evaluating once a quarter should be sufficient.

If you discover that some techniques are not effective enough to merit continuing them modify your basic plan accordingly. Also, your budget may change, either up or down, requiring a corresponding change in your plan.

Reviewing your efforts regularly and making adjustments will help you stretch your funds further and provide a better return on the marketing

dollars that you spend. When evaluating your plan there are several questions to answer.

1. What percent of my profits should I use on marketing?

Marketing is something that never goes away and as you make money, you need to decide how much of your profits to put back into marketing and building your business.

2. How frequently do I need to spend money on marketing in order to be most effective, and how much each time?

Some techniques are best used once a quarter, some once a week. You need to know those variables and plan for them. To some degree you will just have to try different approaches to see which works the best.

3. Do I have the best price for the marketing technique?

Do yourself the favor of shopping around and comparing prices. If you find a marketing source you really like, but another place offers the same service cheaper, ask the first service if they will match the price or reduce their price accordingly. Money talks, and if a business knows that you will take your money somewhere else, that can be a very strong negotiating tool.

4. Is there a way to reduce the cost of a marketing technique and still be effective?

Sometimes you can make some of your marketing materials at home and invest time rather than money. Perhaps you could save money by sending postcards instead of letters.

5. Is there an alternative to this marketing approach that is less expensive, but just as effective?

This is similar to the previous question, but instead of changing the way you produce the marketing material, you are looking to change techniques entirely for something less expensive. For example, if you are accustomed to sending out letters to potential clients, you might change tactics and telephone them instead if you can keep the same response rate.

This list of questions is included in your workbook. You should go through this it as part of your regular marketing evaluation to see where you can cut costs and raise profits.

Remember, you should only make one change at a time to a marketing piece so that you can see the impact of your change. And be sure you use each piece long enough time to see if it is working. Wait at least a month before making a change because you may not get leads for a month or more after you send something out. And finally, make sure you save a copy of your original so you know what people are responding to.

Marketing Mistakes to Avoid

The main goal of these guides is to provide you with the information you need to successfully market in your target areas and to make a decent profit from deals you find. Essentially, we are helping you understand how to spend money in such a way that helps you make more money. Part of that is informing you of things to avoid when you are marketing your business. There are six common mistakes that you should avoid.

Mistake #1: Not having a marketing plan

You need to have a marketing plan to manage both your funds and your timing since both are very important to your success in real estate.

Mistake #2: Not creating a budget and sticking to it

The second mistake is in not creating a budget and sticking to it. You need to track where your money is going and how much you are making.

Mistake #3: Not identifying the strategies that work and the ones that don't

Not only do some people not bother identifying strategies that are working, but some insist on sticking with strategies that don't work. We've taught you some good techniques in this lesson. In future guides these techniques will be refined according to your specific marketing plan or investment strategy. But when you get into a strategy or technique that is giving you good results, don't change unless it stops performing. It is okay to test one thing at a time to see if you can be more effective, but don't change what already works. If something does not work as soon as you implement it, don't immediately jump in and change it. Let it work for at least a month, before you make a change.

Mistake #4: Doing what everyone else is doing

Another mistake to avoid is to simply following the masses and doing what everyone else does. We did recommend emulating ad copy from your competitors, but do not copy what they have word for word. Make

your marketing YOURS. Let it reflect who and what you are so that you can be distinguished from the crowd.

Mistake #5: Not being persistent

You may not see immediate results from any given marketing strategy, but that does not mean it is ineffective. Continue with it for a little while to see if it is going to produce results or not.

Example

Here's an example of this principle. An investor sent 300 postcards to a subdivision in which she wanted to buy a home. After three weeks, she had only received only a few phone calls so she modified the postcard and sent 300 of the modified postcards to another subdivision. Well, the first batch of 300 cards eventually produced a 5% response rate, but most of the responses did not come in until more than six weeks after the initial mailing. She got a deal out of it that produced a $25,000 profit from her investment of $200.

The second batch of 300 postcards only produced a 1.5% response rate. The responses came within two weeks of the mailing but she did not get any deals from them. The moral of this story is that some responses may take a little longer and produce different results, so don't give up too soon. If you do decide to change something, just change one thing so that you can evaluate the impact of the change. In this example, my investor friend learned that the change she made did not work. The original postcard was more effective, even though it took longer to get responses. She is now planning her mailings accordingly.

Mistake #6: Not having a competitive edge

If you employ some of the marketing strategies in these guides as well as some of the specialized techniques found in the marketing and foreclosure guides, you will be different from others. You will have a competitive edge, but doing so will require that you step out of your comfort zone. Don't be afraid to think outside the box.

Example

For example, one investor recently sent handwritten postcards in blue ink to people living in a specific subdivision. He said he would pay them to sell him their home. He even offered them an extra $2,000 if they would sell their home to him instead of listing it with a real estate agent. He also said that he closes quickly. You would be amazed at how many phone calls he received from people curious to know if he would really pay

them $2,000 if they would sell their home to him. It provided a great opportunity for him to tell them who he is and what he does. If they can make a deal, great, if not he tells them that he will give them a referral fee if they refer someone who does close a deal.

Don't choose a strategy just because everyone else is doing it. Follow the guidelines provided here, be creative, and be successful.

Assessment

Here are some questions to help you test your knowledge of the information in this guide. Just answer the questions to the best of your ability. If you find you are having difficulty, please refer back to relevant part of the guide.

1. Which of the following is NOT one of the suggested ways to choose a business name?

a) Use familiar landmarks
b) Use your initials
c) Include words that tell what you do
d) Avoid words associated with licensure

2. Which of the following business types should you avoid using?

a) "C" corporation
b) Limited Liability Partnership (LLP)
c) Sole Proprietorship
d) Limited Liability Company (LLC)

3. Which of these is/are relatively easy to set up?

a) Limited Liability Company (LLC)
b) C" corporation
c) Limited Liability Partnership (LLP)
d) "S" Corporation

4. What is the abbreviation for the federal identification number that is essentially the social security number for your business?

_____

5. Which of these websites would you go to to get an email alias?

a) www.kall8.com
b) www.ureach.com
c) www.google.com
d) www.gmail.com
e) www.mailboxesetc.com

6. From the following list, please select the pieces of information every business card should have.

a) Your name
b) The business phone
c) Mission statement
d) The business email

e) The business fax/website
f) Your home address
g) A coupon
h) The business slogan
i) Your personal email address
j) The business name

7. Which of the following is NOT one of the marketing techniques discussed in the lesson?

a) In person
b) Direct mail
c) Telemarketing
d) Classified ads

8. From the following list, please choose the four qualities that a referral source should have.

a) A lot of money
b) A successful business of their own
c) Knowledge about the services you provide
d) A clientele list
e) A good understanding of what your ideal client is
f) A sense of humor
g) Motivation to provide referrals
h) Access to discounted marketing techniques
i) A good relationship with target clients

9. From the following list of questions, select the ones that will help you define your marketing budget.

a) How much profit will I make from my marketing plan?
b) What percentage of my profits should go toward marketing?
c) How much of my marketing budget should I charge to my credit card?
d) Do I have the best price for this marketing technique?
e) Is there a way to reduce the cost of this technique and keep it effective?

Assessment Answers

1: b; 2: c; 3: a & c; 4: EIN; 5: d; 6: a, b, d, e, f, h, j;

7: c; 8: c, e, g, i; 9: b, d, e

Action Items

Setting up a business and marketing plan is extremely important to your success in real estate. The action items listed here are designed to set up the framework of your business and establish your marketing plan.

- Choose a business name and type.
- Register it with the state, federal, and if necessary,, the local government.
- Set up the necessary options for others to contact your business.
- Design and print that contact information on business cards.
- Evaluate and then select marketing techniques for your target market.
- Create a marketing plan.
- Create a marketing budget.
- Start your marketing efforts by asking friends, acquaintances and associates for referrals.

You have now completed the *Real Estate Basics Course*. Congratulations! Please feel free to go back over this or any of the guides in this course to make sure you understand the concepts and are performing the tasks as directed. Any time you need some help please let our group of professionals know. Now is the time for you implement the things you have learned and begin creating wealth by investing in real estate.

Remember, the harder you work, the faster it will happen.

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